

A 3–6 month fear unwind needs earnings to hold

Team thesis: safety-related fears fade as the next 1–2 reports confirm optical demand and execution.

Valuation reference	Price	Vs. Sept 17 close	Interpretation
Sept 14 shock close	\$835	-6.6%	Observed price; essay causality not established
Sept 17 reference close	\$894	—	Frozen entry comparison
Pre-event close: Sept 11	\$927	3.7%	Pure price-recovery benchmark
Analyst average target	\$1,149	28.6%	12-month cross-check; needs more than pure unwind

63.7% of the event-day dollar drop had already recovered by the reference close.

A \$1,149 target requires an additional 23.9% beyond the pre-event price.

Operating upside is explicit; the ramp and margins fade

Five years capture the ramp, then five years normalize growth and margins before terminal value.

Driver	Bull assumption / path	Source or logic
Revenue by end market	Cloud + Industrial; FY27 6,652m	Base FY27/28: \$6.32bn / \$9.61bn [S4]; former split estimated
EML / 1.6T / OCS	EML +1–3%; mix +2–5%; OCS +\$150m → \$1.49bn	LITE-specific incremental revenue; explicit team estimates
Adjusted EBIT margin	40.75% FY27 → 42.5% peak → 25% terminal	Sourcing adds up to 150bp, then fades; peer margin bracket
SBC / cash tax	4.5% of sales / 20%	SBC remains an economic cost; tax above FY26 adjusted rate
D&A / capex / NWC	D&A 4→5.5%; capex 13→6%; NWC 18%	Depreciation only; capex exceeds terminal depreciation
Long-run growth / exit	3% g / 16× economic EBITDA	Below ~4% nominal GDP; mature multiple, not current peer peak
Capital / timing	Treasury options; June capital; FY27 stub	Cash principal + net conversion shares; no double counting

Full unlevered cash-flow build: FY2027–2031

USD millions. Economic EBIT retains recurring stock compensation; acquired amortization is not added twice.

USD m	2027	2028	2029	2030	2031
Cloud / Networking	6,391	10,054	13,482	16,776	19,674
Industrial Tech	261	276	293	310	329
Revenue	6,652	10,330	13,775	17,087	20,004
Adjusted EBIT	2,711	4,390	5,854	7,091	7,901
Less SBC / payroll	-299	-465	-620	-769	-900
Economic EBIT	2,411	3,925	5,235	6,322	7,001
Less cash tax	-482	-785	-1,047	-1,264	-1,400
NOPAT	1,929	3,140	4,188	5,058	5,601
Add D&A	266	465	689	940	1,100
Less capex	-865	-1,136	-1,309	-1,367	-1,500
Less Δ NWC	-644	-662	-620	-596	-525
Unlevered FCF	686	1,807	2,948	4,034	4,676

WACC comes from risk components, not the price target

Primary WACC 13.97%; identical across Bear / Base / Bull. Own-beta cross-check: 11.86%.

Component	Value	Basis
Risk-free rate	4.94%	Sept 17 US 10-year Treasury
Equity risk premium	4.50%	Above 4.14% observed implied ERP
Peer unlevered beta	2.01	Median COHR / MRVL / FN
Relevered LITE beta	2.01	Market weights; economic capital structure
Cost of equity	13.98%	$R_f + \text{beta} \times \text{ERP}$
Pretax cost of debt	7.44%	$R_f + \text{assumed 250bp credit spread}$
Debt / equity weights	0.10% / 99.90%	In-money notes treated as equity equivalents
WACC	13.97%	$K_e \times E/V + K_d \times (1 - \text{tax}) \times D/V$

Peer	Raw beta	Unlevered
COHR	2.10	2.01
MRVL	2.25	2.21
FN	1.21	1.21

Conservative choices:
ERP above observed; peer beta above LITE's 1.54; terminal growth 3%.
No lower discount rate in Bull.

Terminal value uses a mature margin, under both methods

FY2036 adjusted EBIT margin 25%; economic EBIT margin 20.5% after recurring SBC.

Bull terminal / DCF metric	Gordon growth	Exit multiple
Long-run assumption	3.0% growth	16.0× EBITDA
Normalized terminal FCF / EBITDA	4,311m	7,078m
Terminal value, undiscounted	39,284m	113,242m
PV terminal value	10,945m	31,551m
PV explicit cash flows	17,624m	17,624m
Enterprise value	28,569m	49,175m
TV AS % OF EV	38.3%	64.2%

No perpetual peak margin

42.5% peak → 25% terminal.

Peer context: COHR 21.8%; MRVL 36.6% adjusted margins.

Gordon implies only 5.6× terminal EBITDA.

The per-share bridge exposes the valuation gap

Cash principal is deducted; only net conversion-premium shares enter the denominator.

USD m, except shares / prices	Gordon	Exit
Enterprise value	28,569	49,175
Add cash / short-term investments	2,738	2,738
Less debt principal	-1,647	-1,647
Less minority / senior preferred	0 / 0	0 / 0
Equity after cash principal	29,660	50,266
Core + net conversion shares	98.77m	100.83m
Value per share	\$300	\$499
Upside / downside vs \$894	-66.4%	-44.2%

Interpretation

The operating Bull case is not enough to support today's price under these conservative valuation assumptions.

A sentiment rebound is possible; it is not a DCF-derived target.

Sensitivity: neither terminal convention hides the risk

Bull cash flows; blue-axis inputs are editable in Excel. Values shown are dollars per share.

Gordon growth

WACC / g	2.0%	2.5%	3.0%	3.5%	4.0%
11.97%	\$350	\$357	\$365	\$374	\$384
12.97%	\$318	\$324	\$330	\$336	\$343
13.97%	\$292	\$296	\$300	\$305	\$311
14.97%	\$269	\$272	\$276	\$280	\$284
15.97%	\$250	\$252	\$255	\$258	\$261

Exit EBITDA multiple

WACC / exit	12×	14×	16×	18×	20×
11.97%	\$483	\$528	\$573	\$618	\$663
12.97%	\$451	\$493	\$534	\$575	\$617
13.97%	\$423	\$461	\$499	\$536	\$574
14.97%	\$396	\$431	\$466	\$501	\$536
15.97%	\$372	\$404	\$436	\$468	\$500

Discount-rate normalization alone must be justified independently. The model does not reduce WACC merely to reproduce an analyst price target.

Cross-checks distinguish intrinsic value from a recovery trade

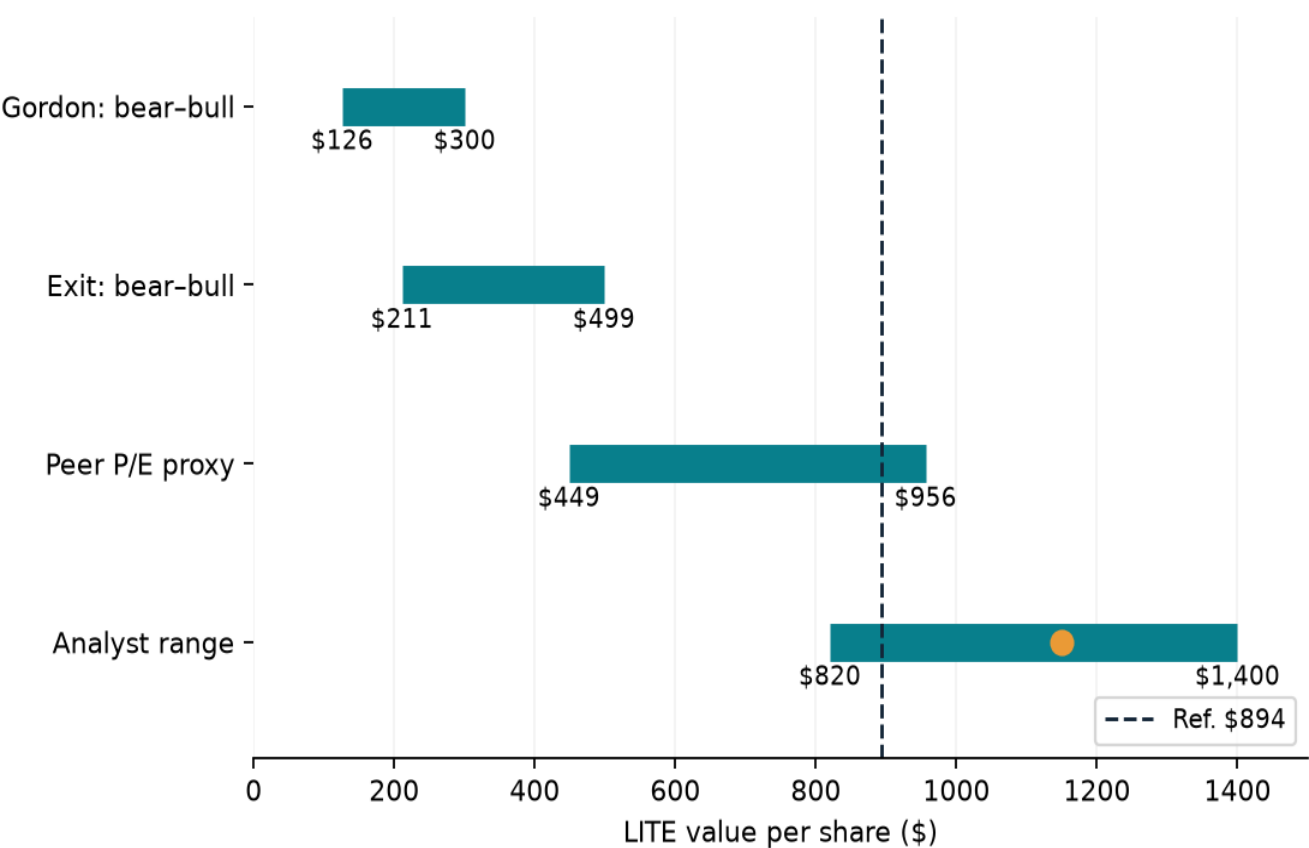
The analyst average is a 12-month benchmark; our proposed catalyst window is 3–6 months.

Peer	EV / EBITDA	Fwd P/E
COHR	41.9×	31.4×
MRVL	74.6×	44.1×
FN	24.1×	20.7×

Peer P/E × \$21.67 LITE EPS:

\$449–\$956

Indicative, not a like-for-like target.



Bear / Base / Bull: operating survival is not an equity floor

Only operating execution varies; common WACC, tax, terminal growth, terminal margin and exit multiple.

USD m except per share	Bear	Base	Bull
FY27 revenue	5,600	6,320	6,652
FY27 uFCF	184	655	686
FY31 revenue	9,036	17,528	20,004
Gordon value	\$126	\$268	\$300
Exit value	\$211	\$448	\$499
Gordon return	-85.9%	-70.0%	-66.4%

Bear cash remains positive

Minimum modeled year-end
cash / investments:
\$2.70bn

All principal funded; no
buybacks or acquisitions
assumed.

Invalidate the trade if orders slip, utilization weakens or the next guidance cannot support continuing execution.

Reverse DCF: what must be true at today's price?

Conditional market-implied paths expose the gap between a near-term fear unwind and long-term valuation.

At \$894	Required outcome	Meaning
Growth-only solve	59.5% Cloud CAGR	FY28–31; fade to 3% by FY36
Implied FY31 revenue	\$41.7bn	vs Bull \$20.0bn
Implied FY31 capex	\$3.1bn	Explicit funding burden, not costless growth
Margin-only solve	171.4%	Above 100%: economically infeasible
Price-implied discount rate	6.6%	Below independent 14.0% WACC

Capex supports continuity

Meta: \$130–145bn CY2026 guide.
Amazon: \$169bn TTM net PPE, +64%.

These support spending today; they do not prove the market-implied decade of LITE growth.

Defend the 3–6 month rebound as a conditional sentiment trade; the conservative DCF does not certify today's price as cheap.